

## **An Audit Trail of Reliance on (Opinions related to) Business Reporting**

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Disclaimer: This document does not represent the opinions of PricewaterhouseCoopers, XBRL International or the XBRL Assurance Working Group. The opinions expressed are mine alone. This is an early draft on thought about an audit trail of reliance on Business Reporting and reliance upon the auditor's opinion on that reporting.

The Internet, XML (Extensible Markup Language) and digital signatures provide a new channel for "accountable" reliance on business reporting. As such, it would be helpful to consider the business requirements and benefits of the "accountable reliance reporting chain". Who is reading and relying on a business report? Who is reading the auditor's report, and then acting on it? What is the relationship between company disclosures and the auditor's report? Considering these questions and others I will explore here will help in the profession's understanding of the possibilities of an audit trail of reliance through that reporting supply chain.

As a supply chain standard, XBRL (Extensible Business reporting Language) is specifically designed to improve a wide range of processes, enabling automation of many processes that are currently manually accomplished, as well as improvements in volumes, frequencies and quality. For the profession, these supply chain improvements work to enhance a number of pervasive market issues including:

- Relevance of reporting and assurance on the Internet;
- Improving frequency of reporting, monitoring and assurance;
- Expanded topics of assurance (sustainability/EBR 360);
- Managing the expectations gap (implicit vs. explicit);
- More explicit assurance scope and relationship to company disclosures;
- Enhancing third party reliance (implicit vs. explicit); and
- Improving risk management capabilities.

This paper focuses on the benefits which may accrue to accounting firms, the profession as a whole and the capital markets through the establishment of an "accountable reliance reporting chain", with a suitable audit trail available for the right reasons at the right time. The paper introduces a number of new and emerging topics that are designed to address some very established and widely recognized issues.

In this discussion, there is a need to differentiate and tie together (at least) four things:

1. The business report and its disclosures
2. The auditor's opinion on the report and/or its disclosures
3. A "reliance transaction" - the audit trail record that someone has
  - Looked at the business report and/or the auditor's report
  - Indicated that they are a stakeholder, as appropriate
  - Indicated that they are in fact relying on what they see for an investment decision

- Indicated that they have specifically relied on the auditor's opinion
  - Indicated that they have indeed READ and claimed to understand the auditor's opinion
  - and other information that needs to be captured and preserved as appropriate evidence/proof
4. and possibly the "presentation environment"<sup>1</sup>

Issues:

One of the drivers of this document is the anecdotal investor, who feels that they relied on an auditor's report and then were injured, taking the auditor to court for negligence. How can reliance be proven? To what third parties is the auditor responsible?

### ***I. What is an injury in the "accountable reliance reporting chain"?***

An investor does not experience the rate of return they expected based on investment decisions. They wish to blame the company and/or the company's auditor in which they invested.

1. What difference between hoped for rate of return and expected rate of return can they seek regress for? Are they a victim because they get 2% instead of 7%? Or because they lose 1% instead of gaining 1%? (Is a loss relative, or must it be absolute?)
2. How is the loss calculated? Does the date of reliance impact the loss calculation?
3. How do they prove that they relied on published corporate information?
4. How do they prove that they relied on authoritative published corporate information?
5. How do they prove they relied on the auditor's opinion associated with that authoritative published corporate information?

### ***II. Who is "injuriable" in the "accountable reliance reporting chain"?***

Bannerman<sup>2</sup> aside, the issue of the auditor's liability to third parties is important, and XBRL is a catalyst to more people using more information for more purposes.

A non-investor makes a business or personal decision based on information in a business report. Examples might include:

- A company sets up a new business model. The model goes nowhere.

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<sup>1</sup> The case of Pennar Software Corp. v Fortune 500 Sys. Lrd., 2001 WL 1319162 (N.D.Cal. Oct. 25, 2001) is a landmark case related to maintenance of information on a web site

<sup>2</sup> <http://www.scotcourts.gov.uk/opinions/mcf1807c.html>

- An academic makes a hypothesis, and submits a paper to a journal. The paper is rejected.
  - A government makes a new tax policy. The policy does not bring in the expected tax revenues.
  - A student writes a paper. The student gets a poor grade when circumstances turn.
1. Along with the questions above, are non-investors included in this discussion?
  2. At what point would these parties be identified as such? Does it have to be before a lawsuit?
  3. Do the parties have to have a direct financial interest? Or just be injured based upon the actions/inactions of the company? Or auditor?

### ***III. Greater control of the report and the audit opinion***

The "public" nature of public filings brings along with it a virtually unlimited audience to the auditor's report associated with those public filings. Management has little to no control over who relies on their report. The auditor has no control over who sees it; the auditor has no way - today - to identify who may have relied on their opinion, determine if those who relied on the opinion are from a covered class of personnel. It is a controversial topic whether auditors have any responsibility to directly contact parties or classes of parties who may have relied on their opinion if something changes and an already expressed opinion must likewise change.

1. Is it important to have a system where business reports (digital documents) have means both to report to the reporting company that they are being used, and a means to report to the user that a later version of the document is available or it is otherwise superseded?
2. Is a means of "subscribing" to an audit opinion on a particular report at a particular point of publication a valuable idea?
3. Is a means of assessing the time/date stamp of use of the company report and/or related auditor report of value?
4. Is an "audit trail" of who has been exposed to, spent significant amounts of time on, or acknowledged reading and consenting to (positive sign in) an auditor's report for later review important?

### ***IV. When is something actually "relied upon" - as opposed to presumptions being made?***

On the Web, an auditor's opinion can be sent to a reader's Web browser, but not be seen - it can be off of the screen, it can be too small to read, it can be in an unreadable color, overwritten by a graphic, or just plain ignored. Unless someone positively signs an agreement that they have seen and understood the opinion, it is difficult to prove use or non-use and presumptions of use are common.

1. Does anyone prove today they relied on something in fact? Or is the entire system based upon a presumption of use?

2. How would anyone prove that they relied on something in fact?
3. How, so much after the fact, could a CPA prove that someone didn't actually, or completely, read their opinion?

## ***V. Personally identifiable information, anonymity***

There is no current requirement that investors or other stakeholders register their reliance on the auditor's report.

- Requiring that investors sign in to a network (a la Microsoft Passport, Liberty Alliance, or other positive personal identification tool before viewing a financial statement and auditor's opinion) would have to be accompanied by some benefit.
  - Small investors may be concerned that exposing their identity would lead to sales pitches or other identity problems.
  - Large investors and analysts may be concerned that they would lose a competitive advantage if their competitors were able to more easily identify the investments that they were analyzing and relying upon.
1. At a time where we are talking about data becoming democratic and more easily available and consumable, would concerned investors shy away from sites that require personal identification?
  2. Is there a way to keep identity private but have a trusted intermediary (AICPA) track the interaction between (potential) investor and financial statement and audit opinion?
  3. What kind of Opt-in benefits could be provided?

## ***VI. Digital signatures: necessary for reliance, but not the answer without a considered implementation***

Digital signatures can be implemented in many ways. Providing a "public key" (related to PKI, Public Key Infrastructure) means someone can (potentially) anonymously check your private key (used to stamp a document to provide proof of authenticity and data integrity). Sending a document to an investor encrypted using the investor's public key means that only that particular party can read the content using their private key. Systems can be set up to control access to documents, but there is no central system to control individual documents; that level of access control would need to be applied at the company or broker level. Tracking the aforementioned reliance transactions, supported by the use of digital signatures, would be key to the interoperability of such audit trail information, although other means (proof of client login/password and review of financial statements on or through a specific broker's web site being a proprietary method of collecting such data.)

1. How can you determine which activities that might be captured as part of a reliance transaction should be tracked?
2. Who should have access to this information? Can it be limited as evidence to court cases? Can it be used by auditors or companies, but limited to vital updates and not "misused" for marketing or other potential invasions of privacy?
3. Who are the appropriate members of such an "accountable reliance" reporting chain? Does it exist today in any manner?

4. Is it even a possibility that laws (U.S., regional, international) could be changed to allow an "opt-in" of personally identifiable information when a stakeholder intends to rely on business reporting for an investment decision and wants to be able specifically to hold the company and the auditor responsible?
5. Would some party be appropriate as a central repository for all such reliance transactions?
6. Is it fair to tell an investor that if they didn't "opt in" to reliance, then their potential recourse may be based upon a presumption rather than a supportable fact?